Q.

Do you think the budget will help boost consumption and investment?

▶ **SABNAVIS:** Direct incentives have been given to MSMEs which will help the sector. For manufacturing, the push given to capex and housing will benefit steel, cement, chemicals, machinery etc.

▶ **NAYAR:** The budget contains several important proposals to boost credit flow to the MSME sector, including a new credit guarantee scheme to facilitate loans for the purchase of machinery and equipment, provision of guarantees to facilitate loans to MSMEs in SMA (special mention account) stage to prevent them getting into the NPA (non-performing asset) stage, doubling the limit of Mudra loans for a category of borrowers, and the expansion of SIDBI branches in all major MSME clusters.

These measures would play an important role in ensuring credit flow and reducing the cost of funds for MSMEs. This would particularly support manufacturing output and exports, as well as job creation.

The government has budgeted Rs 62,600 crore for 'new schemes' under the finance ministry. We believe that a part of this amount is likely to be on account of the measures to boost credit flow to the MSME sector.

▶ **GOYAL:** Before the budget, we saw a crescendo of demands for all kinds of demand stimulus, justified as boosting the economy through raising consumption and investment. The same demands were made during the pandemic. But countries that followed that path saw high inflation because of supply chain snarls etc. India's balance of supply-side measures with stimulus more from better composition than the level of public expenditure has served it well in sustaining a robust growth recovery. It is good the budget resisted these demands and continues with the more long-term strategy that is showing results.

▶ **RANADE:** It is true that despite a fairly rosy macro picture in terms of high growth, moderate headline inflation, adequate foreign exchange and booming stock markets, the underlying microeconomic picture has been worrying. Rural wages have not grown for quite some time. Consumption spending has been growing more slowly than GDP. Private investment spending is stagnating, even as public spending, especially on infrastructure, was very strong. Hence, it was important to provide measures to boost private consumption and investment. Consumption in rural markets needs to be addressed. There is nothing in terms of short-term measures (like consumption vouchers or investment rebates) and, in any case, short-term measures won't work. As the economy moves to a stable higher orbit, with more skilling, and ensuring the growth of MSMEs, eventually we should see consumption and private investment pick up.

▶ **JOSHI:** Sustainable growth remains at the core of this budget. The government has continued to maintain its focus on capex with an aim to create long-term economic growth. However, it also provides mild support to consumption. Consumption growth, which was lagging till fiscal 2024, is expected to pick up this fiscal, buoyed by better agriculture incomes, an expected decline in food inflation, enhanced government funding for schemes that generate employment (especially in construction) and a slight rise in disposable incomes in the hands of the salaried class since it eases the tax burden.

> "The job creation spoken of as well as the lower tax paid by most taxpayers will increase income and hence spending power"
>
> –MADAN SABNAVIS

Private investment is not yet broad-based and is largely driven by the government and households. Even as the government consolidates further fiscally (a fiscal deficit-to-GDP ratio of below 4.5 per cent in FY26, down from 4.9 per cent budgeted for this fiscal), its ability to support the investment cycle via infrastructure funding will reduce. The private sector is gradually picking up the baton from the government.

▶ **MISHRA:** A lower fiscal deficit creates financial space for the private sector to step in. By next year, when the government intends to bring down the fiscal deficit below 4.5 per cent of GDP, the demand for bonds will start outpacing their supply, further pushing down yields on government bonds, and thus